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JANUARY 2015

CARIBBEAN EXAMINATIONS COUNCIL
CARIBBEAN SECONDARY EDUCATION CERTIFICATE
EXAMINATION

PRINCIPLES OF ACCOUNTS

Paper 02 - General Proficiency

3 hours

READ THE FOLLOWING INSTRUCTIONS CAREFULLY.

1. Answer ALL questions in Section I and TWO questions from Section II.
2. Write ALL your answers in the spaces provided in the booklet.
3. Silent electronic calculators may be used, but ALL necessary workings should be clearly shown.
4. EACH question is worth 20 marks.
5. Do NOT write in the margins.
6. If you need to rewrite any answer and there is not enough space to do so on the original page, you must use the extra page(s) provided at the back of this booklet. Remember to draw a line through your original answer.
7. **If** you use the extra page(s) you **MUST** write the question number clearly in the box provided at the top of the extra page(s).

DO NOT TURN THIS PAGE UNTIL YOU ARE TOLD TO DO SO.

1. Walter presented the following transactions for the month of March 2013.

March	
01	Balance brought forward, Cash \$270; Bank overdraft \$2 965
03	Mary, who has an account balance of \$10 000, paid her account in full by cheque after deducting 2% cash discount.
05	Paid electricity expense by cheque \$900
08	Received a loan of \$4 000 by cheque from a friend
10	Cash Sales \$2 300
11	Paid Langain a creditor \$2 910 by cheque having deducted a 3% cash discount
15	Transferred \$2 500 from Bank to Cash
17	Paid wages in cash \$3 200
22	Andy, a creditor, was paid \$1 425 in cash after allowing Walter a discount of \$75.
28	Cash withdrawn for personal use \$200

- (a) Prepare Walter's Three-Column Cash Book on page 3 for the month of March and balance the cash book appropriately. (1 J mark)

Walter's Three-Column Cash Book

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- (b) Complete the form provided below to indicate the sources of information used in the preparation of Control Accounts. *with firm if (m) has been done for you*

Form Question

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| Preparation of Control Accounts |                                                                     |                       |
|---------------------------------|---------------------------------------------------------------------|-----------------------|
|                                 |                                                                     | Source of Information |
|                                 | <div></div>                                                         |                       |
| 0.                              | Total credit sales                                                  | Sales Day book        |
| 1.                              | Total amount for goods bought on credit                             |                       |
| 2.                              | Total amount for accounts which proved uncollectible                |                       |
| 3.                              | Total value of inventory sent back by credit customers              |                       |
| 4.                              | Total amount received from creditors for settling accounts promptly |                       |
| 5.                              | Total value of inventory sent back to credit suppliers              |                       |

(c) After preparation of a company's Control Accounts, the following errors were discovered:

- (i) Credit purchases of \$6 000 had been posted to K. Hoseio's account instead of to P. Hussain's account.
- (ii) Credit sales of \$5 290 was credited to the Sales Account as \$5 920.

Prepare journal entries in the form provided below to correct the errors above. (Narratives are not required.)

General Journal

| Date | Details | f | Debit(\$) | Credit(\$) |
|------|---------|---|-----------|------------|
|      |         |   |           |            |
|      |         |   |           |            |
|      |         |   |           |            |
|      |         |   |           |            |

(4 marks)

Total 20 marks

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2. Shardi and Marti entered into a partnership on 01 January 2014 with the following assets at Start:

|        |           | \$     |
|--------|-----------|--------|
| Shardi | Cash      | 50 000 |
|        | Equipment | 25 000 |
| Marti  | Cash      | 20 000 |
|        | Vehicle   | 30 000 |

- (a) Prepare journal entries in the form provided below to record the capital of the partners at 01 January 2014.

Shardi and Marti  
General Journal

| Date | Details | f | Debit(\$) | credit |
|------|---------|---|-----------|--------|
|      |         |   |           |        |
|      |         |   |           |        |
|      |         |   |           |        |
|      |         |   |           |        |
|      |         |   |           |        |
|      |         |   |           |        |
|      |         |   |           |        |
|      |         |   |           |        |
|      |         |   |           |        |

(6 marks)

- (b) At the end of the first six months of operations, Shardi and Marti realized a profit of \$45 680. Drawings by each partner during the first six months were:

|        |       |
|--------|-------|
|        | \$    |
| Shardi | 1 800 |
| Marti  | 950   |

The partners had agreed to the following:

- (i) Interest would be charged on drawings at the rate of 8% per year.
- (ii) The partners would be entitled to receive interest on capital at the rate of 10% per year.
- (iii) Marti would receive a salary of \$1 700 per month.

Prepare the Appropriation Account of the partnership for the six-month period ended 30 June 2014. (Show working clearly.)

(10 marks)

(c) Calculate Sharif's net worth immediately after the first six months of operations.

(d) Using your answer from (c) above, write a brief comment to assess the performance of Shardi's initial investment.

Total 20 marks



3. Ava Telesford provided the following list of balances for her assets, liabilities and capital on 30 April 2014.

|                               | \$     | \$      |
|-------------------------------|--------|---------|
|                               |        | 80 000  |
| Motor vehicles                |        | 6 100   |
| Cash in hand                  |        | 25 000  |
| Accounts Receivable (debtors) |        | 68 000  |
| Loans                         |        | 200 000 |
| Land and building             |        | 2 500   |
| Provision for bad debts       |        |         |
| Accumulated depreciation:     |        |         |
| Motor vehicle                 | 22 000 |         |
| Land and building             | 54 000 |         |
| Inventory at hand             |        | 42 000  |
| Accounts payable              |        | 30 500  |
| Bank overdraft                |        | 7 900   |
| Fixtures and fittings         |        | 24 200  |
| Accrued expenses              |        | 2 950   |
| Prepaid rent                  |        | 4 000   |
| Capital                       |        | 156 800 |

Additional information:

Included in the loan of \$68 000 is an amount of \$8 000 which is payable within the year.

Depreciation on motor vehicle was omitted for the year. Motor vehicle is depreciated at the rate of 20% per year using the straight line method.

- Net income (profits) for the year up to 30 April 2014 was \$49 450.

Ava made drawings of \$1 000 per month for the past year and an additional \$800 in goods (inventory).

Prepare a classified Statement of Financial Position (Balance Sheet) for Ava Telesford as at 30 April 2014. (Use the order of permanence in classifying assets.)

Total 20 marks

## SECTION II

Answer any TWO questions from this section.

Write ALL your answers in the spaces provided in this booklet.

4. Quella TrueLife, an insurance agency, earns commissions on policies sold. The firm operates from a building which it rents from Citizens Realtors. Quella Truelife's accountant, Mary Jane, reports the following information for the period ended 31 December 2014.

|                                     | \$      |
|-------------------------------------|---------|
| Commissions received paid into bank | 351 600 |
| Commissions to be collected         | 28 200  |
| Commissions received in advance     | 19 400  |
| Rent paid                           | 46 650  |
| Rent owing to landlord              | 17 150  |

- (a) From the above information, prepare T-accounts in the space provided below for EACH of the following items:

(i) Commissions

(ii) Rent

- (b) Quella Truclifc owns the following assets, both of which were purchased on 01 January 2013.

| Asset            | Method of Depreciation | Rate per Annum (%) | Cost Price (\$) |
|------------------|------------------------|--------------------|-----------------|
| Vehicles         | Reducing balance       | 25                 | 200 000         |
| Office equipment | Straight line          | 15                 | 78 500          |

Taking the date of purchase into consideration, complete the form provided below to show the annual depreciation and the Net Book Value of both assets as at 31 December 2014.

| Assets                                  | Vehicles         | Office Equipment |
|-----------------------------------------|------------------|------------------|
| Method of depreciation                  | Reducing balance | Straight line    |
| Rate per annum                          | 25%              | 15%              |
| Cost price                              | \$200 000        | \$78 500         |
| Working Column                          |                  |                  |
| Depreciation for year ended 31 Dec 2014 |                  |                  |
| Net Book Value as at 31 Dec 2014        |                  |                  |

- (c) Including all relevant information from (a) and (b), prepare the Balance Extract for Quella TrueLife as at 31 December 2014 under the following section headings:

Fixed Assets  
Current Assets  
Current Liabilities

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(6 marks)

Total 120 marks

GO ON TO THE NEXT PAGE

- S. Bubbles Manufacturing Limited is the proposed name of a firm to be set up for making specialty cakes. The owner is calculating the possible labour costs for a six-month period. The standard elements of these costs are as follows.

| Job Names  | Number of Workers | Pay Arrangement        | Remarks                                                          |
|------------|-------------------|------------------------|------------------------------------------------------------------|
| Designers  | 2                 | \$6 000 per month each | <del>Overtime to be paid</del><br>at the rate of time and a half |
| Bakers     | 5                 | \$24 per hour          |                                                                  |
| Decorators | 3                 | \$200 per unit         |                                                                  |

- (a) Name TWO jobs which will be treated as direct labour costs in the Manufacturing Account of Bubbles Manufacturing Limited.

(2 marks)

- (b) State TWO methods of payment used by Bubbles Manufacturing Limited.

(2 marks)

- (c) In the first six months of operation, Bubbles Manufacturing Limited records the following:

| Type of Labour | Productivity                             | Remarks                               |
|----------------|------------------------------------------|---------------------------------------|
| Designers      | 6 months worked                          |                                       |
| Bakers         | 138 hours per worker per month           | 40 hours additional overtime in total |
| Decorators     | Average of 40 units per worker per month |                                       |

Calculate the total cost in the form provided below of all labour used by Bubbles Manufacturing Limited over the six-month period. (Show the working used to arrive at the cost of each type of labour.)

Bubbles Manufacturing Limited  
Worksheet

| Type of Labour | Working Column | \$ |
|----------------|----------------|----|
| Designers      |                |    |
| Bakers         |                |    |
| Decorators     |                |    |
| Total\$        |                |    |

(9 marks)

- (d) Calculate the average cost of labour for EACH specialty cake made by Bubbles Manufacturing Limited over the six months. (Show working clearly.)

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(3 marks)

- (e) 15a Maundy is a part-time worker with Bubbles Manufacturing Limited. She works sometimes as a baker and sometimes as a decorator, as needed by the firm, and is paid at a special rate. During the first month of operation, her employee record card showed the following.

| Name | Baker                     | Decorator |
|------|---------------------------|-----------|
| Lisa | 10 hours at overtime rate | 20 units  |

The firm is required to withhold 10% of an employee's gross pay as Social Security and LISA has asked that the firm send \$250 to her Credit Union every month.

Calculate Lisa's gross pay and net pay for the first month. (Label the amounts clearly and show the working used to arrive at EACH amount.)

6. Stennart Downs has provided the following information for his company although he does not keep proper accounts.

| Details                        | 30 November 2013 | 30 November 2014 |
|--------------------------------|------------------|------------------|
|                                | \$               | \$               |
| Fixed assets at net book value | 61 820           | 63 360           |
| Inventory                      | 13 680           | 14 760           |
| Accounts receivable            | 4 300            | 5 070            |
| Accounts payable               | 3 190            | 2 790            |

#### Combined Cash and Bank Account

The following information is also available.

|                      |         |                        |        |
|----------------------|---------|------------------------|--------|
|                      | \$      |                        | \$     |
| Opening cash in hand | 210     | Opening bank overdraft | 2 840  |
| Accounts receivable  | 130 900 | Accounts payable       | 52 200 |
| Additional capital   | 6 000   | Miscellaneous expenses | 21 280 |
|                      |         | Drawings               | 21 800 |
|                      |         | Machinery              | 8 580  |
|                      |         | Closing cash in hand   | 330    |



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(c) Calculate EACH of the following for Stennart Downs:

(i) Credit sales for the year

· (3 marks)·

(ii) Credit purchases for the year

(3 marks)

(iii) Depreciation expense for the year. { Show working clearly. }

**(4 marks)**

**Total 20 marks**

Sonja and Jom, partners in the firm Simple Solutions, discuss the incorporation of their business into a limited liability company.

(a) Explain to the partners ONE difference between EACH of the following pairs of terms using ONE sentence for EACH pair of terms:

(i) Authorized share capital and issued share capital

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..... (1 mark)

(ii) Preference Share and Ordinary Share

..... (1 mark)

(b) Outline TWO advantages to the partners of becoming a limited liability company.

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..... (2 marks)

- (c) On 01 January 2015, the capital balances of Sonja and Jom were \$89 700 and \$95 300 respectively.

Draw up the journal entries (narratives included) in the form provided below to record the following decisions made by Sonja and Jom on 01 January 2014:

- (i) Each partner purchased Ordinary Shares with a par value of \$1 per share in Simple Solutions Company Limited using their closing Capital balances.
- (ii) Jom was issued 2 500 \$2 debentures at an interest rate of 10%. Jom paid the amount due in cash.

| Date | Details | f | Debit(\$) | Credit(\$) |
|------|---------|---|-----------|------------|
|      |         |   |           |            |

| Date | Details | f | Debit(\$) | Credit(\$) |
|------|---------|---|-----------|------------|
|      |         |   |           |            |

(8 marks)

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- Prepare the Appropriation Account for Simple Solutions Company Limited for the year ended 31 December 2014.

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